SECTION 1 (39 marks)

Fullward

You work for Fullward CA (Fullward) a firm of chartered accountants. You are working on the financial statements of three clients – Jiltz plc (Jiltz), Wyndott Ltd (Wyndott) and Sillerline Ltd (Sillerline). All three companies prepare their financial statements in accordance with IFRS Accounting Standards.

You have to finalise the accounting for two of Jiltz's financial liabilities and advise on the disclosure requirements for these for the year ended 31 May 2025. Relevant information is in Appendix 1.

You then have to construct the operating activities section of the statement of cash flows for Wyndott for the year ended 30 June 2025 using the information in Appendix 2.

Finally, you have to advise on how events arising after the reporting period should be dealt with in the financial statements of Sillerline for the year ended 31 July 2025. Details of the events are in Appendix 3.

QUESTIONS:

Question 1

Advise, using the information in Appendix 1, how the financial liabilities of Jiltz should be accounted for in the year ended 31 May 2025 and prepare, showing all workings, any journal entries necessary.

(11 marks)

Question 2

Advise, using the information in Appendix 1, on the disclosure requirements relating to the significance of the financial liabilities for the statement of financial position and statement of profit or loss of Jiltz for the year ended 31 May 2025.

You are **not** required to advise on the disclosure relating to risks associated with the financial liabilities.

(4 marks)

Question 3

Construct, using the information in Appendix 2, the operating activities section of the statement of cash flows of Wyndott for the year ended 30 June 2025 using the indirect method.

This question must be answered in the Excel spreadsheet provided.

(15 marks)

Question 4

Advise, using the information in Appendix 3, on the appropriate accounting treatment of the events arising after the reporting period in Sillerline's financial statements for the year ended 31 July 2025. You are not required to prepare any journal entries or disclosures**.**

(9 marks)

(Total: 39 marks)

Notes:

Journal entries should be presented in £'000

APPENDIX 1 (Section 1)

Information regarding financial liabilities of Jiltz

Loan

- Jiltz took out a loan several years ago. The balance of the loan at 31 May 2024 was £12,400,000. Interest of £490,000 for the year ended 31 May 2025 was paid on 31 May 2025 and was debited to finance costs. No other accounting entries have been made regarding the loan for the year ended 31 May 2025.

- The loan is measured at amortised cost.

- The effective rate of interest on the loan is 6.4%. The loan will be repaid in 2032.

Bonds

- Jiltz issued 3 million £1 7% bonds 2035 at par on 1 June 2024 and the proceeds were recorded as a financial liability. Issue costs of £35,000 were debited to a suspense account.

- Interest of £210,000 was paid on 31 May 2025 and has been recorded correctly.

- The proceeds of the bonds issue were used to finance the purchase of equity shares which are accounted for at fair value through profit or loss (FVTPL). It is the policy of Jiltz to eliminate or minimise accounting mismatches wherever possible.

- The fair value of the bonds at 31 May 2025 is estimated to be £3,140,000. No adjustment has been made for this.

APPENDIX 2 (Section 1)

Information concerning cash flows of Wyndott

- Wyndott uses the indirect method to present cash flows from operating activities.

- Wyndott's statement of profit or loss for the year ended 30 June 2025 (extract)

	£'000
Operating profit	4,485
Finance costs	(130)
Profit before taxation	4,355
Tax expense	(960)
Profit for the period	3,395

Also provided as an Excel resource.

- Operating profit is after charging depreciation of £680,000 and includes a fair value gain on investment properties of £270,000.

- The tax expense includes a deferred tax charge of £80,000. This was the only movement in deferred tax for the year ended 30 June 2025.

- Extracts from the statement of financial position of Wyndott as at 30 June 2024 and 2025:

At 30 June	*2025*	*2024*
	£'000	*£'000*
Current assets		
Inventories	1,230	980
Trade receivables	1,180	1,350
Current liabilities		
Trade payables	970	852
Other payables	120	96
Current tax	510	430

Also provided as an Excel resource.

- Other payables at 30 June 2025 included interest payable of £44,000 (2024: £35,000).

- It is the policy of Wyndott to present interest paid in the operating activities section of its statement of cash flows.

APPENDIX 3 (Section 1)

Information about Sillerline's events arising after the reporting period

- The financial statements are due to be finalised for issue in early 2026.

- In August 2025, a flood caused significant damage to inventories in one of Sillerline's warehouses. Inventories costing £210,000 at 31 July 2025 were damaged and had to be scrapped.

- Sillerline was the victim of a ransomware attack in July 2025. At 31 July 2025, it had lodged an insurance claim for losses but as the outcome was uncertain, no accounting entry was made. The insurer has recently informed Sillerline in writing that it will accept the claim and a payment of £468,000 will be made shortly.

- One of Sillerline's customers entered administration in August 2025. The administrator has stated that creditors will not receive any payment. At 31 July 2025, the customer owed Sillerline £134,000.

- At their meeting in July 2025 the directors of Sillerline agreed to a major restructuring of the business which would lead to redundancy costs of £2,325,000. The plan was announced to those affected in August 2025.

END OF SECTION

SECTION 2 (42 marks)

Feesant

You are the financial controller of UK-based company Feesant plc (Feesant) and have responsibility for the preparation of Feesant's consolidated financial statements for the year ended 30 June 2025. Feesant prepares its financial statements in accordance with IFRS Accounting Standards.

You have to prepare consolidation journal entries for Feesant's two subsidiaries – Vittoro SA (Vittoro) and Primstone Square Ltd (Primstone). Details concerning these subsidiaries are in Appendix 1.

You then have to construct the consolidated statement of other comprehensive income of Feesant for the year ended 30 June 2025. The draft statements of other comprehensive income of Feesant, Vittoro and Primstone are in Appendix 2.

Feesant acquired shares in Klifftown Ltd (Klifftown) on 1 August 2025. You have been asked to advise on the likely impact of this investment on the consolidated financial statements for the year ending 30 June 2026. Information about the investment in Klifftown is in Appendix 3.

QUESTIONS:

Question 5

Prepare, showing all workings and using the information in Appendix 1, any consolidation journal entries necessary for Vittoro and Primstone for the year ended 30 June 2025. You are not required to prepare a journal entry for the Final Step.

(27 marks)

Question 6

Construct, using the information in Appendix 2 and your answer to Question 5, the consolidated statement of other comprehensive income for the year ended 30 June 2025. You are not required to show the allocation of profit or total comprehensive income for the year between owners of the parent and non-controlling interests.

This question must be answered in the Excel spreadsheet provided.

(5 marks)

Question 7

Advise, using the information in Appendix 3:

a) on the appropriate method of accounting for the investment in Klifftown in Feesant's consolidated financial statements for the year ending 30 June 2026; and

b) how the investment in Klifftown, the expected loss for the year and any profit on the sales to Klifftown will be accounted for in the consolidated financial statements for the year ending 30 June 2026.

(10 marks)

(Total: 42 marks)

Notes:

All journal entries should be in £'000

Ignore the tax effect of any adjustments

APPENDIX 1 (Section 2)

Information on matters relating to Vittoro and Primstone

Vittoro

- Vittoro is a company based in Italy with a functional currency of the euro (€). The presentation currency of the Feesant group is sterling (£).

- Feesant acquired 90% of Vittoro's 2 million €1 ordinary shares for £4,550,000 cash on 1 July 2024. At that date Vittoro's retained earnings were €3,600,000. No fair value adjustments were required on acquisition.

- Feesant's policy is to measure non-controlling interest (NCI) at acquisition at its share of net assets.

- Goodwill was considered to be impaired by 20% at 30 June 2025.

- Vittoro's profit for the year ended 30 June 2025 was €1,820,000 and Vittoro paid a dividend of €400,000 during the year. Feesant presents dividends received in finance income.

- Exchange rates were as follows:

Date	*Rate*
At 1 July 2024	£1 = €1.20
Average for the year ended 30 June 2025	£1 = €1.16
At 30 June 2025	£1 = €1.14

Primstone

- Primstone is a UK-based company. Feesant acquired 70% of the share capital of Primstone several years ago. All consolidation journal entries have been prepared except to account for the following matters:

    - On 30 June 2025, Primstone recognised a gain of £320,000 on the revaluation of land. The revaluation gain has been accounted for correctly in the separate financial statements but no consolidation adjustments have been made. Land is not depreciated.

    - Feesant made an interest-free loan of £550,000 to Primstone on 30 June 2025. As the loan was made on the last day of the accounting period, no interest was due in the period.

APPENDIX 2 (Section 2)

Extracts from draft individual company statements of other comprehensive income for the year ended 30 June 2025

	Feesant	*Vittoro*	*Primstone*
	£'000	*€'000*	*£'000*
Items that will not be reclassified to profit or loss			
Gains on revaluation	670	-	320

Also provided as an Excel resource.

APPENDIX 3 (Section 2)

Information concerning the investment in Klifftown

- Feesant acquired 25% of the ordinary shares of Klifftown on 1 August 2025. No other shareholder has a holding of more than 2% of the ordinary shares of Klifftown, although all of Klifftown's non-voting preference shares are held by a single investor.

- You have calculated that the investment in Klifftown by Feesant is a bargain purchase.

- The directors of Feesant expect Klifftown to make a loss for the year ending 30 June 2026.

- Feesant intends to sell goods at a profit to Klifftown during January and February 2026. It is expected that Klifftown will have sold all of the goods by 30 June 2026.

END OF SECTION

SECTION 3 (19 marks)

Gallow

Gallow Turn Automotive Ltd (Gallow) is a UK-based medium-sized car manufacturing company that prepares its sustainability reports according to *European Sustainability Reporting Standards (ESRS).*

You are the financial accountant at Gallow and are responsible for the financial and non-financial reporting regarding director and employee remuneration.

During the year ended 30 June 2025, Gallow had three directors. Information on their remuneration is provided in Appendix 1.

Your finance manager has asked you to review an extract from the draft sustainability report around gender diversity to determine if it meets the requirements of *ESRS S1 Own workforce*. The sustainability report extract has been provided in Appendix 2 and an extract from *ESRS S1* has been provided in Appendix 3.

The managing director, who is a CA, has sent you an email regarding the gender pay gap disclosure. This is provided in Appendix 4.

QUESTIONS:

Question 8

Advise, with reference to the information in Appendix 1 and the Companies Act 2006:

a) why Gallow is required to disclose information on the remuneration of the highest paid director; and

b) what information should be included in the disclosure for the highest paid director.

You should show all workings.

(6 marks)

Question 9

Advise whether the extract from the draft sustainability report in Appendix 2 meets the requirements of the *ESRS S1 Own workforce* extract in Appendix 3 and recommend any improvements that could be made.

(8 marks)

Question 10

Discuss, with reference to the ICAS fundamental principles, the ethical concerns arising from the managing director's email in Appendix 4. You are not required to include any actions.

(5 marks)

(Total: 19 marks)

APPENDIX 1 (Section 3)

Director's remuneration

Gallow has three executive directors who have all been in role for a number of years. Their respective annual salaries for the year ended 30 June 2025 were:

- M Spector: £60,000
- S Bennett: £40,000
- B Javir: £90,000

Gallow paid a bonus, under a long-term incentive scheme (LTIS), to S Bennett during the year which equated to 30% of their salary.

Gallow makes employer pension contributions to a defined contribution scheme. For the year ended 30 June 2025, the total contributions made relating to the directors were as follows:

	M Spector *£'000*	*S Bennett* *£'000*	*B Javir* *£'000*	*Total* *£'000*
Pension costs	16	14	18	48

APPENDIX 2 (Section 3)

Gallow draft sustainability report (extract)

Employee remuneration

At Gallow, employee remuneration is assessed and managed through a structured, data-driven process that promotes equity and transparency. Our remuneration practices cover base salary, bonuses, and benefits, ensuring a comprehensive view of employee earnings for our permanent and our temporary staff.

An internal analysis of our permanent, full-time employees indicates a median gender pay gap of 12%, meaning that, on average, our female employees earn 88% of what our male employees earn. We acknowledge that pay variations exist and continue to monitor and refine our processes to address these gaps.

We are committed to ongoing improvements in remuneration practices and conduct regular internal reviews to assess pay equity and compliance with industry standards.

APPENDIX 3 (Section 3)

Extract from *ESRS S1 Own workforce*

Disclosure Requirement 1-16: Remuneration metrics (pay gap and total remuneration)

95. The undertaking shall disclose the percentage gap in pay between its female and male employees and the ratio between the remuneration of its highest paid individual and the median remuneration for its employees.

96. […]

97. The disclosure required by paragraph 95 shall include:

    (a) the gender pay gap, defined as the difference of average pay levels between female and male employees, expressed as percentage of the average pay level of male employees.

    (b) […]

    (c) where applicable, any contextual information necessary to understand the data and how the data has been compiled and other changes to the underlying data that are to be considered.

Appendix Requirement 98.

When compiling the information required by paragraph 97(a) […] the undertaking should […] include all employees' […].

Appendix Requirement 99 […]

Appendix Requirement 100 […]

APPENDIX 4 (Section 3)

Email from the managing director (extract)

Thanks for looking at the employee remuneration section for the upcoming sustainability reporting. I wanted to suggest a few edits to help frame it more positively. As you know, I'm responsible for making progress towards closing the gender pay gap and want to be seen to have made a positive impact in this area.

At Gallow, we believe our people get paid what they truly deserve—that's the message I want front and centre. We want to give the impression that everything is fair and equitable regardless of what our internal analysis shows.

I know what the ESRS Standards require, but rather than leading with the actual gender pay gap percentage, I'd suggest we refer to the continuing narrowing of the gap and highlight the actions we're taking. If we need to disclose a percentage, we should ensure it reflects our best position and not the average of 12%. So, I want you to remove the 12% reference.

It's important that the final version presents us as an industry leader in reducing gender-based pay disparities. I know there's still some internal work to do, but we can reflect that quietly through future updates—we don't need to go into too much detail right now.

END OF ASSESSMENT